

Sales_Performance_Report_Q1_2026

Reporting Period: January – March 2026

Department: Sales
Prepared by: Sales Operations Team

Executive Summary

Overall sales performance during Q1 remained stable, with total revenue increasing by **3.4%** compared to Q4 2025. While marketing campaigns generated a significant increase in leads, the overall lead-to-sale conversion rate declined, resulting in lower-than-expected revenue growth.

Sales representatives reported concerns regarding lead quality, inconsistent communication with the Marketing department, and limited visibility into campaign objectives. These issues have contributed to longer sales cycles and increased time spent qualifying prospective customers.

Key Performance Indicators

Metric	Q4 2025	Q1 2026	Change
Total Revenue	\$4.35M	\$4.50M	+3.4%
New Leads Received	2,100	2,640	+25.7%
Qualified Leads	1,050	980	-6.7%
Lead Conversion Rate	22%	18%	-4 percentage points
Average Sales Cycle	24 Days	29 Days	+5 Days

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Customer Retention	91%	90%	-1%

Performance Analysis

Lead Quality

Although Marketing generated substantially more leads than the previous quarter, Sales reported that many prospects did not meet the agreed customer profile.

Key observations include:

- Higher number of incomplete customer records.
- Increased number of duplicate leads.
- Prospects lacking purchasing authority.
- Inaccurate contact information.

Sales representatives estimated that approximately **30% of new leads required additional qualification before meaningful engagement could begin.**

Sales Productivity

The increase in lower-quality leads required additional time for qualification and follow-up.

As a result:

- Average time spent qualifying leads increased by 18%.
- Sales representatives completed fewer customer meetings each week.
- Pipeline progression slowed across multiple product categories.

Communication Challenges

Several recurring issues were identified during departmental meetings:

- Marketing campaign objectives were not consistently communicated before launch.
- Sales feedback regarding lead quality was rarely documented.
- Monthly alignment meetings were cancelled twice during the quarter.
- Customer feedback collected by Sales was not routinely shared with Marketing.

These communication gaps reduced both departments' ability to adjust strategies throughout the quarter.

Customer Feedback

Sales representatives recorded several common customer concerns:

- Marketing materials occasionally promoted features unavailable in the customer's region.
- Pricing information differed between marketing campaigns and sales quotations.
- Customers received duplicate communications from multiple departments.

These inconsistencies contributed to confusion during the purchasing process and delayed decision-making.

Risks

If current trends continue, the Sales department anticipates:

- Continued decline in conversion rates.
- Increased customer acquisition costs.
- Longer sales cycles.
- Reduced customer satisfaction.
- Lower employee morale due to ongoing interdepartmental frustration.